

Executive Summary

“A full-time CISO costs \$200,000–\$400,000 a year. Nearly half of small businesses have no security budget at all — yet their insurers, customers, and regulators now require a real security program. ShieldAI closes that gap.”

ShieldAI is a virtual Chief Information Security Officer (vCISO) platform for small and mid-sized businesses (SMBs). It delivers a complete, continuously-managed security program — risk scoring, written policies, a prioritized roadmap, compliance mapping, awareness training, and executive reporting — at a price a small business can actually afford.

Our strategy is a deliberate wedge-to-platform progression. We begin with a free assessment and an affordable, largely self-serve tier ladder that delivers immediate value and proves the model. As clients grow, we layer human expertise on top: cybersecurity engineers who use ShieldAI to run full, managed CISO programs for a portfolio of clients — with the software (and an AI co-pilot) doing the heavy lifting so a small team can protect a large book of businesses. This is how we move from a low-cost tool to a high-value managed-security platform without a linear increase in headcount.

ShieldAI is powered by frontier AI for analysis and content generation, but our defensibility does not rest on the AI itself. It rests on four things: a proprietary, deterministic security-scoring engine built on the NIST Cybersecurity Framework that produces explainable, auditor- and insurer-trustworthy results; a human-in-the-loop model in which qualified engineers review and approve work before it reaches the client; the proprietary assessment data and client relationships that compound over time; and direct-to-SMB distribution at a price point the market's best-funded players — Cynomi, Vanta, Drata, Secureframe, and Scrut Automation — have each left structurally uncontested (see the companion Competitive Analysis).

Key Highlights

Metric	Detail
Target market	U.S. SMBs with employees, prioritizing regulated and insured segments
Core category	Virtual CISO (vCISO) — ~\$2B+ today, growing 12–15%+ annually
Demand driver	Cyber-insurance, customer security requirements, and regulation forcing SMBs to act
Model	Five-tier ladder — Free \$0 / Starter \$159 / Growth \$349 / Guided \$699 / Managed vCISO \$1,950 — land-and-expand into engineer-run managed programs
Differentiation	Deterministic NIST scoring engine + human-in-the-loop + direct-to-SMB reach nobody else in the category has
Unit economics	\$0.28/client/month AI cost; blended gross margin expanding from ~12% (Y1) to ~74% (Y3) as the platform scales
Stage	Working product live in production — assessment, scoring, program & policy generation, 12 compliance frameworks, billing infrastructure, monitoring agent
Next milestone	Convert the analyst console from mockup to live; hire first security engineers

This plan reflects ShieldAI's current direction: the self-serve product is built and functioning in production; this raise funds the build-out of the managed-services platform layer that turns it into a scalable business. Full financial detail appears in the companion Business Plan and 3-Year Financial Model.